

Customer Churn - Executive Analytics Capstone

- Purpose: Understand the key drivers and business implications of customer churn.
- Sample size: 15 customers.
- Observed churn: 7 customers (46.67%).
- Focus: churn concentration, customer tenure, support activity, revenue exposure, and subscription type.

Executive Summary

- 7 of 15 customers in the sample have churned.
- All observed churned customers are on Month-to-Month contracts.
- Churned customers have substantially shorter average tenure.
- Churned customers also show higher average support-ticket activity.
- Churned customers represent 409.93 in monthly charges.

Insight 1 - Contract Type

- All 7 observed churned customers are Month-to-Month customers.
- No churn was observed among One Year or Two Year contracts in this sample.
- Recommended action: prioritize Month-to-Month customers for proactive retention engagement.
- Limitation: the sample is small and does not establish that contract type causes churn.

Insight 2 - Tenure and Support

- Average tenure of churned customers: 7.00 months.
- Average tenure of retained customers: 29.12 months.
- Average support tickets: 4.29 for churned customers versus 1.00 for retained customers.
- Recommended action: strengthen early onboarding and investigate recurring support issues.
- Limitation: these relationships are associations, not proof of causation.

Insight 3 - Revenue Exposure

- Monthly charges associated with churned customers: 409.93.
- Historical total charges from churned customers: 3,109.51.
- Recommended action: prioritize retention efforts where churn represents meaningful recurring revenue exposure.
- Limitation: these values describe this sample and are not a forecast.

Insight 4 - Subscription Type

- Basic: 5 of 7 customers churned.
- Pro: 2 of 4 customers churned.
- Enterprise: 0 of 4 customers churned.
- Recommended action: investigate service experience and value drivers within subscription groups.
- Limitation: subgroup sizes are very small.

Insight 5 - Business Priorities

- Prioritize early-tenure customers for onboarding and engagement.
- Monitor Month-to-Month customers for increasing churn risk.
- Investigate customers with repeated support interactions.
- Focus retention resources where recurring revenue exposure is meaningful.
- Use the findings as hypotheses for further analysis rather than definitive causal conclusions.

Recommended Action Plan

- 1. Strengthen early customer onboarding.
- 2. Introduce proactive engagement for Month-to-Month customers.
- 3. Review recurring support-ticket patterns.
- 4. Prioritize retention outreach based on revenue exposure.
- 5. Collect more customer data before making broader strategic decisions.

Assumptions and Limitations

- The dataset contains only 15 customers.
- The results represent sample observations, not the full customer population.
- Observed relationships do not establish causation.
- Small subgroup sizes make percentage comparisons unstable.
- Additional data would be required to validate the findings at scale.